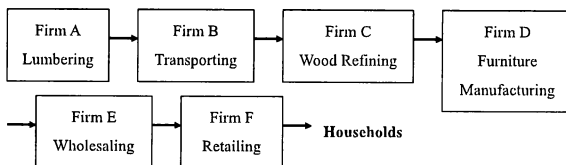


SECTION 2: PRODUCTION

2.1 TYPES OF PRODUCTION

Multiple Choice Questions

1990/CE/II/27



The following shows the production stages of furniture manufacturing. Which firms belong to the tertiary production?

- A. Firms A, B and C
- B. Firms A, C and D
- C. Firms B, E and F
- D. Firms D, E and F

1991/CE/II/04

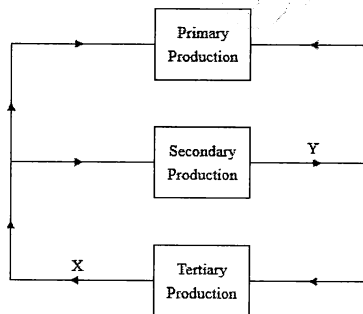
Mr. Wong, who is a fireman, also works as a part-time taxi-driver. Which stage(s) of production is he engaged in?

- A. secondary production only
- B. tertiary production only
- C. primary and tertiary production only
- D. secondary and tertiary production only

1991/CE/II/05

The above diagram shows the interdependence among the three stages of production. The flows of 'X' and 'Y' should be labelled respectively as

- A. natural resources and consumer goods
- B. natural resources and capital goods
- C. services and consumer goods
- D. services and capital goods



1992/CE/II/04

Which of the following is classified as consumption?

- A. A student saves up unused Christmas cards until next Christmas.
- B. A student helps to clean his classroom.
- C. Mrs. Hong teaches a TV audience how to cook.
- D. A student watches a music TV programme.

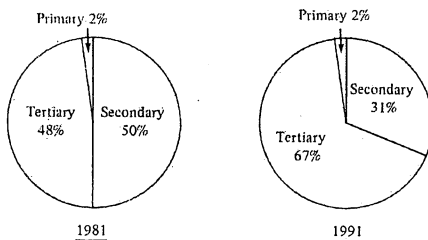
1993/CE/II/04

Which of the following are examples of tertiary producers?

- (1) a pop singer
 - (2) a baker
 - (3) a bank teller
 - (4) a truck driver
 - (5) a film-developing operator
- A. (1), (2) and (5) only
 - B. (1), (3) and (4) only
 - C. (1), (3) and (5) only
 - D. (2), (3) and (4) only

1993/CE/II/05

Employment in primary, secondary
and tertiary industries in 1981 and 1991



Based on the above information,

- A. the primary sector employed the same number of workers in 1981 and 1991
- B. the total value of secondary products was lower in 1991
- C. tertiary production is becoming more important in terms of its contribution to employment
- D. real income earned in the tertiary sector was higher in 1991

1994/CE/II/60

Which of the following activities is **NOT** classified as production?

- A. a mother teaching her child to read
- B. a son helping his mother to serve dinner at home
- C. a father repairing a TV set at home
- D. a daughter playing with her cat at home

Microeconomics by Topic
2. Production

1995/CE/II/04

Mary is a sewing worker in a garment factory in the daytime. In the evening, she works as a waitress in a restaurant. Mary is a _____ producer.

- A. secondary
- B. tertiary
- C. primary and secondary
- D. secondary and tertiary

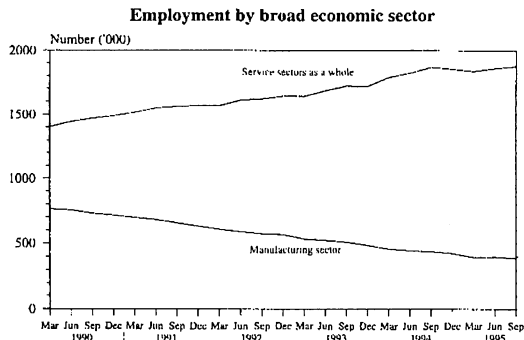
1995/CE/II/15

Year	% share in total employment	
	1982	1992
Manufacturing sector	45%	19%
Services sector	50%	78%
Others	5%	3%
Total	100%	100%

From the above table, we can conclude that

- A. the manufacturing sector had a big fall in employment in 1992 as compared to 1982.
- B. the services sector had a great increase in employment in 1992 as compared to 1982.
- C. the services sector employed the largest number of working people in 1992.
- D. the services sector accounted for a greater proportion of gross domestic product (GDP) than the manufacturing sector in 1992.

1997/CE/II/28



Source : HONG KONG 1996, Hong Kong government

According to the above graph, which of the following descriptions of the labour force in Hong Kong from March 1990 to September 1995 is correct?

- A. In terms of employment, the manufacturing sector was declining while the service sector was growing.
- B. The output per employee in the manufacturing sector was falling.
- C. One major source of manpower in the service sector was imported labour, including domestic servants.
- D. The real wage of the service sector was increasing.

2002/CE/II/12

Which of the following statements about production is correct?

- A. Developed countries have no primary production.
- B. Students selling flags for charity organizations are engaging in production.
- C. An Indian restaurant engages in tertiary production only.
- D. The car repair work belongs to secondary production.

2003/CE/II/15

Which of the following activities are classified as production in economics?

- (1) a man delivering newspapers
- (2) a girl sewing her own dress
- (3) a boy selling pirated compact discs (CD)

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

2004/CE/II/19

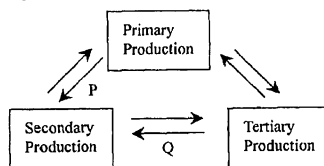
	% share of total employment	
	Country A	Country B
Primary production	3	1
Secondary production	46	25
Tertiary production	51	74

From the above table, we can conclude that

- A. most people in country B enjoy a higher living standard than most people in country A.
- B. most people in each of the countries engage in tertiary production.
- C. more people engage in tertiary production in country B than in country A.
- D. All of the above are correct.

2005/CE/II/14

The following graph shows the relationship of the three stages of production. What does P and Q stand for respectively?



- A. services; consumer goods
- B. producer goods; consumer goods
- C. raw materials; services
- D. natural resources; producer goods

2007/CE/II/13

The following table shows the employment distribution of Hong Kong.

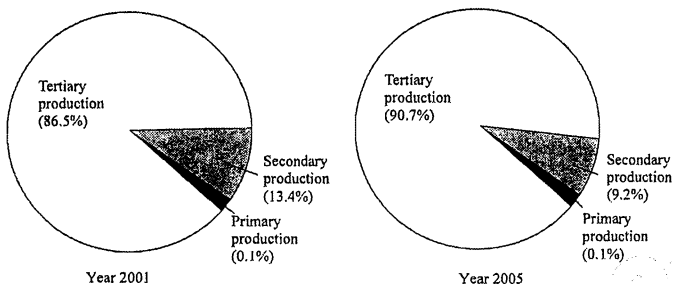
Sector \ Year	1985	1997	2005
Primary	2.2%	0.5%	0.4%
Secondary	43.5%	20.4%	13.7%
Tertiary	54.3%	79.1%	86.0%
(Total)	100%	100%	100%

From the above table, we can conclude that from 1985 to 2005,

- A. the number of people engaged in the primary and secondary sectors decreased while that in the tertiary sector increased.
- B. the overall unemployment rate remained constant.
- C. the contribution to gross domestic product (GDP) of the tertiary sector increased.
- D. the relative importance of the secondary sector in terms of employment decreased.

2008/CE/II/13

Hong Kong's gross domestic product (GDP) at factor cost was higher in 2005 than in 2001. The charts below show the contribution to GDP at factor cost by sectors in 2001 and 2005, respectively.



Based on the above information, we can conclude that in the year 2005

- A. workers in the tertiary sector on average earned more than those in the secondary sector.
- B. the labour productivity of the secondary sector decreased.
- C. the output value of the primary sector increased.
- D. the number of workers in the tertiary sector increased.

2010/CE/II/15

Study the following information about an economy:

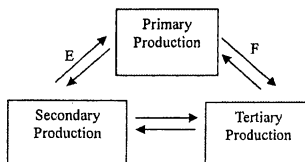
	% of total employment	
	In 1999	In 2009
Primary production	39	5
Secondary production	21	30
Tertiary production	40	65
(Total)	100	100

From the above table, we can conclude that

- the primary sector's relative importance in total employment has decreased in 2009 because its average labour productivity has increased.
- most people have a higher living standard in 2009 than in 1999.
- the number of workers engaged in the secondary sector in 2009 may be larger or smaller than that in 1999.
- the tertiary sector contributes the largest share to the gross domestic product (GDP) for 2009.

2014/DSE/I/10

The following graph shows the relationship of the three stages of production. What do E and F stand for respectively?



- consumer goods; raw materials
- producer goods; services
- raw materials; services
- producer goods; raw materials

2025/DSE/I/05

The table below shows the distribution of total production value in an economy. The total production value in this economy was higher in 2024 than that in 2014.

	Year 2014	Year 2024
Primary production	15.3%	5.1%
Secondary production	22.2%	22.2%
Tertiary production	62.5%	72.7%
Total	100%	100%

Based on the above information, we can conclude that from 2014 to 2024, the _____.

- proportion of workers engaged in primary production decreased
- labour productivity of primary production decreased
- total production value of secondary production remained unchanged
- total production value of tertiary production must have increased

Short & Structured Questions

1990/CE/1/1(a)(ii)

Mrs Wong is a lawyer and is also good at doing housework, but she employs a Filipino maid to do her housework.

To what stage of production does the work done by Filipino maids belong? Explain.

(2 marks)

1996/CE/1/2

'Sphagetti House' is a fast-food shop selling pizzas and other Italian dishes. Name and explain the type(s) of production that the shop is engaged in.

(4 marks)

2004/CE/1/9(d)

Explain which type of production car agents belong to.

(2 marks)

2015/DSE/II/(a)

Many electronic product retailers are located in Mong Kok.

To which type of production do electronic product retailers belong? Explain your answer.

(2 marks)

2017/DSE/II/13(a)(i)

To cope with the problem of a rapidly aging population in Hong Kong, the government has proposed a retirement protection scheme under which eligible elderly would receive \$38 760 per year.

Mr. Chan, a street sleeper, is eligible to receive \$38 760 under this scheme. He would be able to afford the service of an elderly care centre and would spend \$30 000 of the money to pay the yearly charges.

To which type of production does elderly care service belong?

(1 mark)

2022/DSE/II/9(ai)

The Mainland government introduced the Targeted Poverty Alleviation Campaign (精準扶貧政策) in 2014.

After analysing the situations of people living in poverty, the government officials came up with tailor-made measures. The following are two examples of the campaign.

Example 1	A village in Yunnan province has beautiful natural landscape. The government of Yunnan province promoted the village to attract more travellers. Apart from farming, the villagers also set up hostels to serve travellers in order to earn more income.
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(a) Refer to Example 1.

- (i) In which types of production did the villagers engage after the introduction of the campaign? Explain.

(4 marks)

2024/DSE/II/10(b)

The government of City B actively promotes the development of tourism industry.

Suppose some airlines in City B hold promotion campaigns that a total of 20 000 flight tickets to City B are given out for free.

(b) To which type of production do airlines belong? Explain your answer.

(2 marks)

2025/DSE/II/05

The table below shows Hong Kong's employment data between May and July, 2024.

	Number of persons
Employed persons	3 708 600
Unemployed persons	117 800
Underemployed persons	47 500

- (a) Calculate the unemployment rate in the above period. Show your workings. (2 marks)
- (b) State **TWO** losses to society caused by unemployment. (2 marks)